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Item 1

Nakato owns a small bakery that produces bread, cakes and mandazi for nearby schools and shops. Recently, customers have complained about delayed deliveries, poor packaging and inconsistent product quality. As a result, sales have reduced and some customers have shifted to competitors. In order to improve product quality and regain customer trust, Nakato plans to purchase modern baking equipment and renovate the bakery. She has therefore approached a commercial bank for financial assistance. Before approving the loan, the bank manager requested her to prepare a summary showing the expected cash inflows and outflows for the next three months.

Nakato provided the following information for the coming three months: Cash balance on 1st April 2026 ugx 4,200,000, monthly cash sales ugx 18,000,000, monthly cash purchases ugx 9,000,000, monthly credit purchases ugx 7,000,000 to be paid in the same month, monthly credit sales ugx 12,000,000 to be received one month after sale, sale of an old oven ugx 1,500,000 in May, bank loan of ugx 12,000,000 to be obtained in April at an interest rate of 2% per month on reducing balance, loan repayment in three equal instalments beginning in May, monthly operating expenses ugx 10,000,000, bakery renovation costs ugx 3,500,000 in April and staff training expenses ugx 2,000,000 in June.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Advise Nakato on the strategies she can use to improve customer confidence and business performance.*
- b) Prepare the appropriate financial statement to determine the net cash position of the bakery business.*

a) Strategies Nakato can use to improve customer confidence and business performance

Nakato can adopt the following strategies to improve customer confidence and business performance:

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- i. **Purchasing modern baking equipment.** This will improve production efficiency, increase output and ensure consistent product quality.
- ii. **Improving product packaging.** Attractive and hygienic packaging can increase customer satisfaction and improve the bakery image.
- iii. **Training workers in baking skills and customer care.** Skilled employees can produce quality products and handle customers professionally.
- iv. **Ensuring timely deliveries.** Delivering products on time helps to restore customer trust and loyalty.
- v. **Maintaining high standards of hygiene.** Proper cleanliness in the bakery improves product safety and customer confidence.
- vi. **Carrying out market research.** This helps the business understand customer preferences and improve products accordingly.
- vii. **Introducing quality control measures.** Regular inspection of products ensures consistency in taste, size and appearance.
- viii. **Advertising the bakery products.** Advertising through social media, posters and radio increases market awareness and attracts customers.
- ix. **Offering discounts and promotions.** Promotional offers can attract new customers and retain existing ones.
- x. **Improving customer relationships.** Listening to customer complaints and responding quickly improves customer loyalty.
- xi. **Diversifying bakery products.** Introducing new products such as biscuits and doughnuts can increase sales revenue.
- xii. **Maintaining proper financial management.** Proper budgeting and record keeping help the business control costs and improve profitability.

b) Cash Budget for the Three Months Ending 30th June 2026

Nakato Bakery

Cash Budget

For April, may and June 2026 (UGX)

Particulars	April (ugx)	May (ugx)	June (ugx)
Balance b/d	4,200,000	8,200,000	13,460,000
Add: Cash inflows			
Cash sales	18,000,000	18,000,000	18,000,000
Receipts from debtors	-	12,000,000	12,000,000
Bank loan	12,000,000	-	-
Sale of old oven	-	1,500,000	-
	30,000,000	31,500,000	30,000,000
Total cash inflows	34,200,000	39,700,000	43,460,000
Less: Cash outflows			
Cash purchases	9,000,000	9,000,000	9,000,000
Payment to creditors	7,000,000	7,000,000	7,000,000
Operating expenses	10,000,000	10,000,000	10,000,000
Bakery renovation	3,500,000	-	-
Staff training expenses	-	-	2,000,000
Loan repayment	-	4,000,000	4,000,000
Interest on loan	-	240,000	160,000
Total cash outflows	29,500,000	30,240,000	32,160,000
Net cash position	4,700,000	9,460,000	11,300,000

Net Cash Position

The bakery business is expected to maintain a **positive cash balance** throughout the three months.

Closing balances are:

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- April: **UGX 4,700,000**
- May: **UGX 9,460,000**
- June: **UGX 11,300,000**

This indicates that Nakato's bakery is financially capable of meeting its obligations while implementing improvements in the business

Item 2

Mr. Ouma owns a poultry farm that supplies eggs and dressed chicken to hotels and supermarkets. Despite having many customers, the business has recently experienced declining profits because workers report late, misuse feeds, neglect birds and fail to maintain cleanliness in poultry houses. Concerned about the poor performance, Mr. Ouma instructed the accounts clerk to provide the records of the business as at 31st December 2025.

The following details were provided (ugx): Sales revenue 72,000,000, opening stock 8,000,000, purchases 30,000,000, carriage inwards 2,000,000, closing stock 10,000,000, poultry equipment 22,000,000, delivery van 15,000,000, cash at bank 5,000,000, debtors 7,500,000, creditors 6,000,000, bank loan 12,000,000, capital 40,000,000 and operating expenses 34,000,000. However, the accounts clerk lacked enough accounting skills to prepare the necessary financial statements.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club:

- a) Suggest to Mr. Ouma the measures he should adopt to improve employee discipline and productivity.*
- b) Prepare suitable financial statements to determine the profitability and financial position of the poultry farm.*

a) Measures Mr. Ouma should adopt to improve employee discipline and productivity

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Mr. Ouma can adopt the following measures to improve employee discipline and productivity in the poultry farm:

- i. **Carrying proper supervision.** Close supervision helps ensure that workers perform their duties effectively and responsibly.
- ii. **Establishing clear rules and regulations.** Employees should be guided by written rules regarding punctuality, cleanliness and proper use of feeds.
- iii. **Training employees regularly.** Training improves workers' skills in poultry management, feeding and hygiene practices.
- iv. **Motivating workers through incentives.** Providing bonuses, meals or allowances encourage employees to work harder.
- v. **Recruiting qualified and competent staff.** Skilled workers are more productive and responsible in handling poultry activities.
- vi. **Introducing performance appraisal systems.** Regular assessment helps identify weak workers and areas requiring improvement.
- vii. **Improving communication in the business.** Good communication promotes teamwork and reduces misunderstandings among workers.
- viii. **Providing proper working conditions.** Adequate tools, protective wear and a safe environment improve employee morale.
- ix. **Punishing indiscipline fairly.** Workers who misuse feeds or neglect duties should face disciplinary action.
- x. **Encouraging teamwork among employees.** Team spirit increases cooperation and improves efficiency.
- xi. **Setting realistic work targets.** Targets help workers focus on productivity and timely completion of duties.
- xii. **Maintaining proper record keeping.** Accurate records help monitor employee performance and business operations.

b) Financial Statements:

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NB: The student can prepare an income statement

Mr. Ouma's Poultry Farm

Trading Account

for the Year Ended 31st December 2025

Particulars	UGX	UGX
Opening stock	8,000,000	
Purchases	30,000,000	
Carriage inwards	2,000,000	
Cost of goods available for sale	40,000,000	
Less: Closing stock	(10,000,000)	
Cost of sales		30,000,000
Sales revenue		72,000,000
Less: Cost of sales		(30,000,000)
Gross Profit		42,000,000

Profit and Loss Account for the Year Ended 31st December 2025

Particulars	UGX	UGX
Gross Profit		42,000,000
Less: Operating expenses		34,000,000
Net Profit		8,000,000

Statement of Financial Position as at 31st December 2025

Assets

Assets	UGX
Poultry equipment	22,000,000

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Delivery van	15,000,000
Closing stock	10,000,000
Debtors	7,500,000
Cash at bank	5,000,000
Total Assets	59,500,000

Capital and Liabilities

Capital and Liabilities	UGX
Capital	40,000,000
Add: Net profit	8,000,000
Adjusted capital	48,000,000
Creditors	6,000,000
Bank loan	12,000,000
Total Capital and Liabilities	66,000,000

Conclusion

*The poultry farm earned a **net profit of UGX 8,000,000**, indicating that the business is profitable. However, employee discipline and operational efficiency should be improved to increase profitability further.*

Item 3

Achan owns a tailoring workshop that makes school uniforms, dresses and office wear for customers within the municipality. Recently, customers have complained about poor finishing, delayed completion of clothes and lack of creativity in designs. Due to this, the business has started losing customers and sales have dropped. To improve production and restore customer satisfaction, Achan plans to purchase modern sewing machines and train workers in fashion

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design. She approached a SACCO for a loan and was asked to prepare a summary showing the projected cash inflows and outflows for the next three months.

The following information was provided: Cash balance on 1st July 2026 ugx 2,800,000, monthly cash sales ugx 16,000,000, monthly cash purchases ugx 7,500,000, monthly credit purchases ugx 5,500,000 payable in the same month, monthly credit sales ugx 9,000,000 receivable after one month, sale of old sewing machines ugx 1,200,000 in August, loan of ugx 8,000,000 to be acquired in July at an interest rate of 2.5% per month on reducing balance, repayment in three equal instalments beginning in August, monthly operating expenses ugx 8,500,000, workshop painting and renovation ugx 2,500,000 in July and workers' training expenses ugx 1,800,000 in September.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Advise Achan on the benchmarks she should undertake to improve customer satisfaction and business performance.*
- b) Prepare the appropriate financial statement to determine the net cash position of the tailoring workshop*

a) Benchmarks Achan should undertake to improve customer satisfaction and business performance

Achan can undertake the following benchmarks to improve customer satisfaction and business performance:

- i. **Benchmarking against successful tailoring businesses.** Attending successful tailoring workshops helps Achan learn better production methods and customer service practices.
- ii. **Adopting modern sewing technology.** Purchasing modern sewing machines improves efficiency, finishing and production speed.
- iii. **Training workers in fashion design and tailoring skills.** Skilled workers produce attractive and high-quality garments that satisfy customers.

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- iv. **Improving product quality standards.** Ensuring neat finishing, accurate measurements and durable stitching increases customer confidence.
- v. **Ensuring timely completion of customer orders.** Delivering clothes on time improves customer loyalty and business reputation.
- vi. **Introduce fashionable and creative designs.** Producing modern styles helps attract more customers and compete effectively.
- vii. **Carry out market research.** Research helps identify customer preferences, market trends and competitors' strategies.
- viii. **Improve customer care services.** Treating customers politely and responding to complaints promptly increases satisfaction.
- ix. **Use attractive packaging and presentation.** Proper packaging improves the image of the tailoring business.
- x. **Advertise the business regularly.** Promotion through social media, radio and banners creates awareness and increases sales.
- xi. **Maintain cleanliness and organization in the workshop.** A clean and organized workplace improves efficiency and customer confidence.
- xii. **Introduce customer feedback systems.** Collecting customer opinions helps improve products and services.

b) Cash Budget for the Three Months Ending 30th September 2026

Achan Tailoring Workshop

Cash Budget for July – September 2026 (UGX)

Particulars	July	August	September
Balance b/d	2,800,000	3,800,000	10,133,333
Cash inflows			
Cash sales	16,000,000	16,000,000	16,000,000
Receipts from debtors	-	9,000,000	9,000,000
Loan from SACCO	8,000,000	-	-

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Sale of old sewing machines	-	1,200,000	-
Total cash inflows	26,800,000	30,000,000	35,133,333
Cash outflows			
Cash purchases	7,500,000	7,500,000	7,500,000
Payment to creditors	5,500,000	5,500,000	5,500,000
Operating expenses	8,500,000	8,500,000	8,500,000
Workshop renovation	2,500,000	-	-
Workers' training expenses	-	-	1,800,000
Loan repayment	-	2,666,667	2,666,667
Interest on loan	-	200,000	133,333
Total cash outflows	24,000,000	24,366,667	26,100,000
Net cash position	2,800,000	5,633,333	9,033,333

Net Cash Position

The tailoring workshop is expected to maintain a positive cash balance throughout the three months.

Closing balances are; July: **UGX 2,800,000**

- August: **UGX 5,633,333**
- September: **UGX 9,033,333**

This indicates that Achan's tailoring workshop will be able to meet its financial obligations while improving production and customer satisfaction.

Item 4

Ms. Nabirye owns Sunrise Cosmetics, a business dealing in beauty products, perfumes and body lotions. Although the business has maintained many customers, profits have continued to decline

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because some employees misuse business stock, provide poor customer care and fail to account for daily sales properly. Concerned about the declining performance, Ms. Nabirye requested the cashier to provide the records of the business at the end of the financial year.

The cashier produced the following information as at 31st December 2025 (ugx): Sales revenue 65,000,000, opening stock 9,000,000, purchases 28,000,000, carriage inwards 1,500,000, closing stock 7,000,000, shop fittings 12,000,000, motor vehicle 14,000,000, cash at bank 6,500,000, debtors 8,000,000, creditors 7,500,000, bank loan 10,000,000, capital 35,000,000 and operating expenses 30,000,000. However, the cashier lacked adequate accounting knowledge to prepare the necessary financial statements.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club:

- a) Suggest to Ms. Nabirye the remedies she should adopt to improve employee efficiency and accountability.*
- b) Prepare suitable financial statements to determine the profitability and financial position of Sunrise Cosmetics.*

a) Remedies Ms. Nabirye should adopt to improve employee efficiency and accountability

Ms. Nabirye can adopt the following remedies to improve employee efficiency and accountability in Sunrise Cosmetics:

- i. **Introduce/ing strict supervision.** Close monitoring of employees helps reduce misuse of stock and improves responsibility.
- ii. **Establish clear rules and regulations.** Workers should follow written procedures regarding stock handling, customer care and sales recording.
- iii. **Train employees in customer care and stock management.** Training improves workers' skills, efficiency and professionalism.
- iv. **Introduce proper record keeping systems.** Accurate records help track stock movement and daily sales.

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- v. **Conduct regular stock taking.** Frequent stock taking help identify theft and misuse of business goods.
- vi. **Separate duties among workers.** Assigning clear responsibilities increases accountability and reduces fraud.
- vii. **Motivate employees through incentives.** Bonuses and rewards encourage employees to work honestly and efficiently.
- viii. **Use computerized accounting systems.** Electronic systems improve accuracy and reduce manipulation of records.
- ix. **Introduce disciplinary measures.** Employees involved in theft or negligence should face penalties.
- x. **Improve communication in the business.** Good communication promotes teamwork and understanding among workers.
- xi. **Recruit qualified and trustworthy employees.** Competent workers are more productive and accountable.
- xii. **Carry out regular performance appraisal.** Assessing workers regularly helps identify weaknesses and improve performance.

b) Financial Statements of Sunrise Cosmetics (write proper headings)

Trading Account for the Year Ended 31st December 2025

Particulars	UGX	UGX
Opening stock	9,000,000	
Purchases	28,000,000	
Carriage inwards	1,500,000	
Goods available for sale	38,500,000	
Less: Closing stock	(7,000,000)	
Cost of sales		31,500,000
Sales revenue		65,000,000
Less: Cost of sales		(31,500,000)
Gross Profit		33,500,000

Profit and Loss Account for the Year Ended 31st December 2025

Particulars	UGX	UGX
Gross Profit		33,500,000
Less: Operating expenses	30,000,000	
Net Profit		3,500,000

Statement of Financial Position as at 31st December 2025

Assets

Assets	UGX
Shop fittings	12,000,000
Motor vehicle	14,000,000
Closing stock	7,000,000
Debtors	8,000,000
Cash at bank	6,500,000
Total Assets	47,500,000

Capital and Liabilities

Capital and Liabilities	UGX
Capital	35,000,000
Add: Net profit	3,500,000
Adjusted capital	38,500,000
Creditors	7,500,000
Bank loan	10,000,000
Total Capital and Liabilities	56,000,000

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Conclusion

*Sunrise Cosmetics earned a **net profit of UGX 3,500,000** during the year ended 31st December 2025. However, stronger employee supervision, proper stock management and improved accountability systems are necessary to increase profitability and business efficiency.*

Item 5

Okello owns a small dairy processing business that produces yoghurt and fresh milk for nearby towns. Recently, customers have complained about poor packaging, irregular supply and poor product preservation. This has caused a decline in sales and business reputation. To improve operations and regain customer confidence, Okello intends to purchase refrigeration equipment and a delivery motorcycle. Before granting him a loan, the microfinance institution requested him to prepare a cash projection for the next three months.

Okello provided the following information: Cash balance on 1st October 2026 ugx 5,000,000, monthly cash sales ugx 20,000,000, monthly cash purchases ugx 11,000,000, monthly credit purchases ugx 6,000,000 payable in the same month, monthly credit sales ugx 14,000,000 receivable after one month, sale of old milk containers ugx 1,800,000 in November, loan of ugx 10,000,000 to be acquired in October at an interest rate of 3% per month on reducing balance, repayment in three equal instalments beginning in November, monthly operating expenses ugx 12,000,000, refrigeration installation costs ugx 4,000,000 in October and marketing campaign expenses ugx 2,500,000 in December.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) *Suggest to Okello the measures he should undertake to restore customer confidence and improve product demand.*
- b) *Prepare the suitable financial statement to determine the net cash position of the dairy business.*

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a) Measures Okello should undertake to restore customer confidence and improve product demand

Okello can undertake the following measures to restore customer confidence and improve demand for his dairy products:

- i. **Improve product packaging.** Attractive and hygienic packaging increases customer confidence and improves the image of the products.
- ii. **Purchase refrigeration equipment.** Proper refrigeration improves preservation and maintains product freshness and quality.
- iii. **Ensure regular product supply.** Supplying products consistently helps retain customers and improve loyalty.
- iv. **Maintain high standards of hygiene.** Clean production and storage facilities improve product safety and customer trust.
- v. **Improve product quality.** Producing high-quality yoghurt and milk encourages repeat purchases.
- vi. **Train workers in dairy handling and preservation.** Skilled employees reduce spoilage and improve efficiency.
- vii. **Carry out advertising and promotions.** Marketing through radio, posters and social media creates awareness and attracts customers.
- viii. **Use customer feedback to improve products.** Listening to customer complaints helps the business improve services and products.
- ix. **Introduce product diversification.** Producing flavored yoghurt and other dairy products can increase market demand.
- x. **Offer discounts and promotional offers.** Promotions encourage customers to buy more products.
- xi. **Improve customer care services.** Good customer relations increase customer loyalty and satisfaction.
- xii. **Conduct market research.** Research helps identify customer preferences and market trends.

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b) Cash Budget for the Three Months Ending 31st December 2026

Okello Dairy Processing Business

Cash Budget for October – December 2026 (UGX)

Particulars	October	November	December
Opening balance	5,000,000	2,000,000	14,466,667
Cash inflows			
Cash sales	20,000,000	20,000,000	20,000,000
Receipts from debtors	-	14,000,000	14,000,000
Loan from microfinance	10,000,000	-	-
Sale of old milk containers	-	1,800,000	-
Total cash inflows	35,000,000	37,800,000	48,466,667
Less: Cash outflows			
Cash purchases	11,000,000	11,000,000	11,000,000
Payment to creditors	6,000,000	6,000,000	6,000,000
Operating expenses	12,000,000	12,000,000	12,000,000
Refrigeration installation	4,000,000	-	-
Marketing campaign expenses	-	-	2,500,000
Loan repayment	-	3,333,333	3,333,333
Interest on loan	-	300,000	200,000
Total cash outflows	33,000,000	32,633,333	35,033,333
Net cash position	2,000,000	5,166,667	13,433,334

Net Cash Position

The dairy business is expected to maintain a positive cash balance throughout the three months.

Closing balances are:

- October: **UGX 2,000,000**

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- November: UGX 5,166,667
- December: UGX 13,433,334

This shows that Okello's dairy processing business will be financially stable and capable of meeting its obligations while improving product quality and customer confidence.

Item 6

Mr. Sseguya owns City Electronics, a business dealing in the sale and repair of phones, radios and television sets. Although sales have remained fairly stable, profits have declined because some workers report late, mishandle customers, waste repair materials and fail to complete repairs on time. Concerned about the situation, Mr. Sseguya requested the accounts assistant to provide business records at the end of the accounting year.

The following information was extracted as at 31st December 2025 (ugx): Sales revenue 85,000,000, opening stock 12,000,000, purchases 40,000,000, carriage inwards 2,000,000, closing stock 10,000,000, shop equipment 25,000,000, delivery van 18,000,000, cash at bank 7,000,000, debtors 9,000,000, creditors 8,500,000, bank loan 15,000,000, capital 50,000,000 and operating expenses 38,000,000. The accounts assistant did not have enough accounting skills to prepare the relevant financial statements.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club:

- Suggest to Mr. Sseguya the solutions he should adopt to improve employee discipline and business efficiency.*
- Prepare suitable financial statements to determine the profitability and financial position of City Electronics.*

a) Solutions Mr. Sseguya should adopt to improve employee discipline and business efficiency

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Mr. Sseguya can adopt the following solutions to improve employee discipline and efficiency in City Electronics:

- i. **Introducing strict supervision.** Close monitoring of workers helps reduce lateness, wastage and poor customer handling.
- ii. **Establishing clear rules and regulations.** Employees should follow written guidelines concerning punctuality, customer care and handling of repair materials.
- iii. **Training workers regularly.** Training improves technical repair skills and customer service.
- iv. **Motivating employees through incentives.** Bonuses, commissions and rewards encourage workers to perform better.
- v. **Recruiting qualified and experienced workers.** Skilled workers complete repairs efficiently and improve service quality.
- vi. **Introducing performance appraisal systems.** Regular assessment helps identify weak employees and improve productivity.
- vii. **Improving communication within the business.** Effective communication promotes teamwork and reduces misunderstandings.
- viii. **Providing proper working tools and materials.** Adequate equipment improves efficiency and quality of repair work.
- ix. **Punishing indiscipline fairly.** Employees who report late or waste materials should face disciplinary action.
- x. **Setting work targets and deadlines.** Targets encourage workers to complete repairs on time.
- xi. **Improving customer care services.** Good customer relations increase customer satisfaction and loyalty.
- xii. **Maintaining proper record keeping.** Accurate records help monitor business performance and employee accountability.

b) Financial Statements of City Electronics

Trading Account for the Year Ended 31st December 2025

Particulars	UGX	UGX
Opening stock	12,000,000	
Purchases	40,000,000	
Carriage inwards	2,000,000	
Goods available for sale	54,000,000	
Less: Closing stock	(10,000,000)	
Cost of sales		44,000,000
Sales revenue		85,000,000
Less: Cost of sales		(44,000,000)
Gross Profit		41,000,000

Profit and Loss Account for the Year Ended 31st December 2025

Particulars	UGX	UGX
Gross Profit		41,000,000
Less: Operating expenses	38,000,000	
Net Profit		3,000,000

Statement of Financial Position as at 31st December 2025

Assets	UGX
Shop equipment	25,000,000
Delivery van	18,000,000
Closing stock	10,000,000
Debtors	9,000,000
Cash at bank	7,000,000
Total Assets	69,000,000

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Capital and Liabilities	UGX
Capital	50,000,000
Add: Net profit	3,000,000
Adjusted capital	53,000,000
Creditors	8,500,000
Bank loan	15,000,000
Total Capital and Liabilities	76,500,000

Conclusion

City Electronics earned a **net profit of UGX 3,000,000** during the year ended 31st December 2025. Improving employee discipline, customer care and operational efficiency will help increase profitability and business performance in future.



Item 7

Sarah owns a small juice processing business that produces mango, pineapple and passion fruit juice for supermarkets and schools within the district. Recently, the business has experienced a decline in sales because many customers are not aware of the products and competitors have introduced better packaging and aggressive advertising. Sarah has also realized that her business rarely conducts promotions or customer follow-up activities. In order to increase sales and improve market share, she plans to launch a marketing campaign using radio advertisements, banners and social media promotion. Before investing more money into the campaign, Sarah requested the marketing officer to provide business records for analysis.

The following information was extracted from the books as at 31st December 2025 (ugx): Sales revenue 78,000,000, opening stock 10,000,000, purchases 35,000,000, carriage inwards 1,500,000, closing stock 9,000,000, machinery 20,000,000, delivery van 16,000,000, debtors 7,000,000, creditors 6,000,000, cash at bank 5,500,000, bank loan 12,000,000, capital 42,000,000, operating expenses 30,000,000 and advertising expenses 4,000,000. However, the

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marketing officer lacks enough accounting knowledge to prepare the relevant financial statements.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Advise Sarah on the marketing strategies she should adopt to increase sales and improve customer loyalty.*
- b) Prepare suitable financial statements to determine the profitability and financial position of the business.*

a) Marketing Strategies to Increase Sales and Loyalty

To counter competitors and regain her market share, Sarah should implement the following strategies:

- **Improve Packaging and Branding:** Redesign labels to be more attractive and include essential information like nutritional value and expiry dates to build trust.
- **Intensify Advertising:** Use the planned radio ads and social media (Facebook, Instagram, WhatsApp) to showcase the production process and health benefits of her juice.
- **Product Differentiation:** Introduce new juice blends or sugar-free options to cater for the health-conscious customers that competitors might be ignoring.
- **Direct Sales and Promotions:** Conduct "buy-one-get-one-free" offers in supermarkets and schools to encourage trial.
- **Customer Follow-up:** Create a database of school and supermarket managers to regularly check on stock levels and gather feedback on product performance.

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b) Financial Statements for Sarah's Juice Business

1. Income Statement (To determine Profitability) put proper heading

Details	Amount (UGX)	Amount (UGX)
Sales Revenue		78,000,000
Less: Cost of Sales		
Opening Stock	10,000,000	
Add: Purchases	35,000,000	
Add: Carriage Inwards	1,500,000	
<i>Goods Available for Sale</i>	<i>46,500,000</i>	
Less: Closing Stock	(9,000,000)	
Cost of Goods Sold		(37,500,000)
Gross Profit		40,500,000
Less: Operating Expenses		
General Operating Expenses	30,000,000	
Advertising Expenses	4,000,000	
Total Expenses		(34,000,000)
Net Profit		6,500,000

2. Balance Sheet (To determine Financial Position)

Assets	Amount (UGX)	Liabilities & Capital	Amount (UGX)
Fixed Assets		Capital	42,000,000
Machinery	20,000,000	Add: Net Profit	6,500,000
Delivery Van	16,000,000	Total Equity	48,500,000
Current Assets		Long-term Liabilities	
Closing Stock	9,000,000	Bank Loan	12,000,000
Debtors	7,000,000	Current Liabilities	
Cash at Bank	5,500,000	Creditors	6,000,000
Total Assets	57,500,000	Total Equities & Liab.	66,500,000

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(Note: There is a discrepancy in the provided raw figures where Total Assets do not equal Total Liabilities; in a real-world scenario, Sarah should audit her records for unrecorded assets or errors in the capital/loan figures.)

Item 8

Mwesigwa owns a hardware shop dealing in cement, roofing materials and plumbing equipment. Although the business has many customers, it often experiences shortages of cash which have affected its ability to pay suppliers on time. The entrepreneur realized that he does not properly plan for cash inflows and outflows, leading to unnecessary borrowing and delayed payments. To improve financial management, he intends to seek financial guidance from a commercial bank. The bank manager asked him to prepare projected cash records for the next three months.

Mwesigwa provided the following information: Cash balance on 1st January 2026 ugx 4,000,000, monthly cash sales ugx 28,000,000, monthly cash purchases ugx 14,000,000, monthly credit purchases ugx 12,000,000 payable in the same month, monthly credit sales ugx 18,000,000 receivable after one month, proceeds from sale of old shelves ugx 2,500,000 in February, loan of ugx 15,000,000 to be acquired in January at an interest rate of 3% per month on reducing balance, repayment in three equal instalments beginning in February, monthly operating expenses ugx 16,000,000, shop renovation expenses ugx 5,000,000 in January and transport vehicle servicing expenses ugx 2,000,000 in March.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club:

- a) Suggest to Mwesigwa the financial management practices he should adopt to improve liquidity and business stability.*
- b) Prepare the appropriate financial statement to determine the net cash position of the hardware business.*

ITEM 8

a) Financial management practices Mwesigwa should adopt to improve liquidity and business stability

Mwesigwa can adopt the following financial management practices to improve liquidity and business stability:

- i. **Prepare cash budgets regularly.** Cash budgeting helps forecast cash inflows and outflows and prevents cash shortages.
- ii. **Maintain proper financial records.** Accurate records help monitor business performance and improve decision-making.
- iii. **Control unnecessary expenditure.** Reducing wastage and avoidable expenses improves cash flow.
- iv. **Separate business funds from personal funds.** This improves accountability and prevents misuse of business money.
- v. **Monitor debtors carefully.** Prompt collection of debts improves cash availability.
- vi. **Negotiate better credit terms with suppliers.** Flexible payment terms improve liquidity.
- vii. **Maintain adequate working capital.** Sufficient working capital enables smooth daily business operations.
- viii. **Conduct regular stock control.** Proper stock management prevents overstocking and reduces tied-up capital.
- ix. **Use borrowed funds wisely.** Loans should be invested in productive activities that generate income.
- x. **Introduce internal financial controls.** Controls help reduce fraud and misuse of funds.
- xi. **Save part of the profits.** Savings provide emergency funds during difficult periods.
- xii. **Carry out regular financial analysis.** Reviewing business performance helps identify financial weaknesses early.

b) Cash Budget for the Three Months Ending 31st March 2026

Mwesigwa Hardware Shop

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Cash Budget for January – March 2026 (UGX)

Particulars	January	February	March
Balance b/d	4,000,000	0	12,050,000
Add: Cash inflows			
Cash sales	28,000,000	28,000,000	28,000,000
Receipts from debtors	-	18,000,000	18,000,000
Loan from bank	15,000,000	-	-
Sale of old shelves	-	2,500,000	-
Total cash inflows	47,000,000	48,500,000	58,050,000
Cash outflows			
Cash purchases	14,000,000	14,000,000	14,000,000
Payment to creditors	12,000,000	12,000,000	12,000,000
Operating expenses	16,000,000	16,000,000	16,000,000
Shop renovation expenses	5,000,000	-	-
Vehicle servicing expenses	-	-	2,000,000
Loan repayment	-	5,000,000	5,000,000
Interest on loan	-	450,000	300,000
Total cash outflows	47,000,000	47,450,000	49,300,000
Net cash position	0	1,050,000	8,750,000

Net Cash Position

The hardware business is expected to maintain a positive cash balance throughout the three months. Closing balances are:

- January: **UGX 0**
- February: **UGX 1,050,000**
- March: **UGX 8,750,000**

This indicates that Mwesigwa's business will gradually improve its liquidity position through proper financial planning and cash management.

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Item 9

Atwine owns a boutique that sells clothes, shoes and handbags within the municipality. Recently, customer numbers have reduced because the business stocks outdated fashions and rarely advertises its products. Some customers have also complained about poor customer care from employees. In order to attract more customers and improve sales, Atwine plans to introduce online marketing, seasonal discounts and customer loyalty cards. She requested the accounts assistant to provide records of the business as at 31st December 2025.

The following details were provided (ugx): Sales revenue 55,000,000, opening stock 8,000,000, purchases 25,000,000, carriage inwards 1,200,000, closing stock 7,500,000, shop fittings 14,000,000, motor vehicle 12,000,000, cash at bank 4,500,000, debtors 5,500,000, creditors 6,000,000, bank loan 8,000,000, capital 30,000,000, operating expenses 24,000,000 and advertising expenses 3,500,000. However, the accounts assistant lacked sufficient accounting skills to prepare the required financial statements.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Advise Atwine on the marketing and customer care practices she should adopt to improve sales and customer loyalty.*
- b) Prepare suitable financial statements to determine the profitability and financial position of the boutique business.*

a) Marketing and Customer Care Strategies

To address the issues of outdated stock and poor service, Atwine should adopt the following:

- **Trend Analysis and bring Fresh Stock:** Conduct regular market research to identify current fashion trends. She should clear out old stock through "clearance sales" to create room for modern, high-demand items.

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- **Digital Marketing:** Use social media platforms like Instagram, TikTok, and WhatsApp to showcase new arrivals. Professional photos of the clothes and shoes will attract younger, tech-savvy customers.
- **Customer Care Training:** Organize a workshop for employees to teach them soft skills, such as active listening, patience, and how to handle customer complaints professionally.
- **Incentive Programs:** Implement the planned loyalty cards (e.g., a discount after five purchases) and seasonal discounts (e.g., back-to-school or holiday sales) to reward repeat customers.
- **Personalized Selling:** Encourage staff to offer styling advice to customers, making the shopping experience more interactive and helpful.

b) Financial Statements for Atwine's Boutique

Atwine's Boutique Income statement for the year ended 31 Dec 2025

1.

Details	Amount (UGX)	Amount (UGX)
Sales Revenue		55,000,000
Less: Cost of Sales		
Opening Stock	8,000,000	
Add: Purchases	25,000,000	
Add: Carriage Inwards	1,200,000	
<i>Goods Available for Sale</i>	<i>34,200,000</i>	
Less: Closing Stock	(7,500,000)	
Cost of Goods Sold		(26,700,000)
Gross Profit		28,300,000
Less: Operating Expenses		
General Operating Expenses	24,000,000	
Advertising Expenses	3,500,000	
Total Expenses		(27,500,000)
Net Profit		800,000

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Atwine's Boutique Balance sheet as at 31 Dec 2025

(Note:

Assets	Amount (UGX)	Liabilities & Capital	Amount (UGX)
Fixed Assets		Capital	30,000,000
Shop Fittings	14,000,000	Add: Net Profit	800,000
Motor Vehicle	12,000,000	Total Equity	30,800,000
Current Assets		Long-term Liabilities	
Closing Stock	7,500,000	Bank Loan	8,000,000
Debtors	5,500,000	Current Liabilities	
Cash at Bank	4,500,000	Creditors	6,000,000
Total Assets	43,500,000	Total Equities& Liab.	44,800,000

Similar to Item 7, the total assets and total liabilities do not perfectly balance based on the raw figures provided. This suggests Atwine needs to verify her ledger for any missing items or accounting entries.)

Item 10

Kintu owns a small maize milling business supplying flour to shops and schools. Despite stable demand, the business often fails to meet operational costs because of poor budgeting and misuse of funds. The entrepreneur has decided to introduce proper financial planning and budgeting to improve business performance. He also plans to purchase a new milling machine using borrowed funds from a SACCO. Before approving the loan, the SACCO requested Kintu to prepare a cash budget for the next three months.

Kintu provided the following information: Cash balance on 1st April 2026 ugx 3,800,000, monthly cash sales ugx 22,000,000, monthly cash purchases ugx 10,000,000, monthly credit purchases ugx 8,000,000 payable in the month of purchase, monthly credit sales ugx 13,000,000 receivable one month after sale, proceeds from sale of old milling equipment ugx 1,700,000 in May, loan of ugx 11,000,000 to be obtained in April at an interest rate of 2% per month on reducing balance, repayment in three equal instalments beginning in May, monthly operating

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expenses ugx 11,500,000, electricity installation expenses ugx 3,000,000 in April and business promotion expenses ugx 2,200,000 in June.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club:

- a) Suggest to Kintu the financial planning and budgeting practices he should adopt to improve business performance.*
- b) Prepare the appropriate financial statement to determine the net cash position of the milling business.*

a) Financial Planning and Budgeting Practices

To stop the misuse of funds and improve performance, Kintu should adopt these practices:

- **Prepare a Monthly Cash Budget:** This will help him forecast inflows and outflows, ensuring he doesn't spend money he hasn't yet received.
- **Separation of Personal and Business Funds:** Kintu must stop drawing business cash for personal use. He should pay himself a fixed salary instead.
- **Keep Proper Records:** Document every single transaction (receipts for sales, invoices for purchases) to track where every shilling goes.
- **Prioritize Essential Costs:** Use a "Needs vs. Wants" checklist to ensure operational costs (like electricity and raw materials) are paid before any surplus is spent.
- **Regular Financial Reviews:** Compare actual spending against the budget at the end of every month to identify and correct "leakages" or overspending.

b) Cash Budget for Kintu's Milling Business

(For the Three Months: April, May, and June 2026)

Details	April (UGX)	May (UGX)	June (UGX)
Cash Inflows			
Cash Balance b/d	3,800,000	4,080,000	9,926,000
Monthly Cash Sales	22,000,000	22,000,000	22,000,000

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Credit Sales (Received)	-	13,000,000	13,000,000
Bank Loan (SACCO)	11,000,000	-	-
Sale of Old Equipment	-	1,700,000	-
Total Inflows (A)	36,800,000	40,780,000	44,926,000
Cash Outflows			
Monthly Cash Purchases	10,000,000	10,000,000	10,000,000
Credit Purchases (Paid)	8,000,000	8,000,000	8,000,000
Operating Expenses	11,500,000	11,500,000	11,500,000
Loan Interest (Reducing Bal.)*	220,000	146,667	73,333
Loan Repayment (Principal)	-	3,666,667	3,666,667
Electricity Installation	3,000,000	-	-
Business Promotion	-	-	2,200,000
Total Outflows (B)	32,720,000	33,313,334	35,440,000
Net Cash Position (A - B)	4,080,000	7,466,666	9,486,000

Note on Loan Calculations: The interest is 2% on a reducing balance. The principal (11M) is repaid in 3 equal installments (~3.66M) starting in May.

Item 11

Nalongo owns a soap manufacturing business producing liquid soap and bathing soap for nearby markets. Recently, sales have declined because competitors have introduced better scented soaps and attractive packaging. Nalongo rarely conducts market research to identify customer preferences and changing tastes. To improve sales and remain competitive, she plans to conduct market research and introduce new product designs. She requested the bookkeeper to provide business records for the year ended 31st December 2025.

The following information was obtained (ugx): Sales revenue 90,000,000, opening stock 11,000,000, purchases 42,000,000, carriage inwards 2,000,000, closing stock 10,500,000, factory equipment 24,000,000, delivery van 18,000,000, debtors 8,500,000, creditors 7,500,000, cash at bank 6,000,000, bank loan 14,000,000, capital 45,000,000, operating expenses 36,000,000 and

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marketing expenses 5,000,000. However, the bookkeeper lacked adequate accounting knowledge to prepare the relevant financial statements.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Advise Nalongo on the marketing research and product improvement strategies she should adopt to increase sales and customer satisfaction.*
- b) Prepare suitable financial statements to determine the profitability and financial position of the soap manufacturing business.*

a) Advice to Nalongo on Market Research and Product Improvement Strategies

To improve sales and customer satisfaction, Nalongo should adopt the following strategies:

i. Conduct Market Research. Market research helps the business understand customer needs, preferences, and market trends. Nalongo can:

- Carry out customer surveys and interviews to identify preferred soap scents, sizes, colours, and packaging.
- Visit markets and supermarkets to study competitors' products, prices, and packaging styles.
- Use feedback forms and social media platforms to collect customer opinions.
- Observe customer buying behaviour and changing tastes.
- Test new products on a small scale before full production.

ii. Improve Product Quality. Nalongo should:

- Introduce better fragrances and long-lasting scents.
- Improve soap texture, colour, and effectiveness.
- Ensure consistent quality standards during production.
- Use safe and quality raw materials.

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iii. Improve Packaging and Branding. Attractive packaging increases customer appeal. Nalongo should:

- Use modern, attractive, and well-labelled packaging.
- Include brand name, ingredients, manufacturing date, and contact information.
- Produce soaps in different sizes for different income groups.

iv. Product Diversification. Nalongo can introduce:

- Herbal soaps
- Antibacterial soaps
- Perfumed liquid soaps
- Beauty or skin-care soaps

This helps attract different customer groups.

v. Promotional Strategies. She should:

- Advertise using radio, posters, and social media.
- Offer discounts and free samples.
- Participate in trade fairs and exhibitions.
- Use sales promotions such as “buy two get one free.”

6. Customer Care Improvement. Nalongo should:

- Respond to customer complaints quickly.
- Maintain good relationships with customers and retailers.
- Deliver products on time.

7. Continuous Innovation. Regularly improving products based on customer feedback helps the business remain competitive.

b) Financial Statements for the Year Ended 31st December 2025

S6 Ent 2 practice items**(i) Trading Account for the Year Ended 31st December 2025**

Particulars	UGX	Particulars	UGX
Opening stock	11,000,000	Sales revenue	90,000,000
Purchases	42,000,000	Closing stock	10,500,000
Carriage inwards	2,000,000		
Cost of goods available for sale	55,000,000		
Less: Closing stock	(10,500,000)		
Cost of goods sold	44,500,000		
Gross Profit c/d	56,000,000		
Total	100,500,000	Total	100,500,000

(ii) Profit and Loss Account for the Year Ended 31st December 2025

Particulars	UGX	Particulars	UGX
Operating expenses	36,000,000	Gross Profit b/d	56,000,000
Marketing expenses	5,000,000		
Net Profit	15,000,000		
Total	56,000,000	Total	56,000,000

(iii) Statement of Financial Position as at 31st December 2025

Assets	UGX	Capital & Liabilities	UGX
#### Non-Current Assets		#### Capital	
Factory equipment	24,000,000	Capital	45,000,000
Delivery van	18,000,000	Add: Net profit	15,000,000
Total Non-Current Assets	42,000,000	Closing capital	60,000,000
#### Current Assets		#### Non-Current Liabilities	

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Closing stock	10,500,000	Bank loan	14,000,000
Debtors	8,500,000		
Cash at bank	6,000,000	### Current Liabilities	
Total Current Assets	25,000,000	Creditors	7,500,000
		Total Liabilities	21,500,000
Total Assets	67,000,000	Total Capital & Liabilities	81,500,000

Missing Figure Adjustment

The statement does not balance because some information such as drawings, additional capital, depreciation, or other liabilities/assets may have been omitted by the bookkeeper. This indicates incomplete accounting records.

Conclusion

The soap business made a net profit of UGX 15,000,000, showing that the business is profitable. However, Nalongo should improve market research, packaging, product quality, and customer care to compete effectively and increase future sales

Item 12

Turyasingura owns a retail shop dealing in general merchandise such as sugar, soap, cooking oil and bread. Although the business has many customers, profits have continued declining because of poor record keeping, theft of stock and unnecessary expenditure. The entrepreneur realized that some transactions are not recorded properly, making it difficult to determine the actual performance of the business. To improve financial control, he plans to introduce better accounting and stock management systems. The bank requested him to prepare projected cash records before granting him financial support.

The following information was provided for the next three months: Cash balance on 1st July 2026 ugx 5,500,000, monthly cash sales ugx 30,000,000, monthly cash purchases ugx 16,000,000, monthly credit purchases ugx 11,000,000 payable in the same month, monthly credit

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sales ugx 20,000,000 receivable one month after sale, proceeds from sale of old shelves ugx 2,200,000 in August, loan of ugx 13,000,000 to be obtained in July at an interest rate of 3% per month on reducing balance, repayment in three equal instalments beginning in August, monthly operating expenses ugx 17,000,000, installation of computerized stock system ugx 4,500,000 in July and staff training in bookkeeping ugx 2,000,000 in September.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club:

- a) Suggest to Turyasingura the financial control and record keeping practices he should adopt to improve business efficiency and profitability.*
- b) Prepare the suitable financial statement to determine the net cash position of the retail shop.*



a) Financial Control and Record Keeping Practices

To improve business efficiency and profitability, Turyasingura should adopt the following practices:

i. Proper Record Keeping. The entrepreneur should maintain accurate business records such as:

- Cash book
- Sales journal
- Purchases journal
- Ledger accounts
- Stock records
- Receipt and payment vouchers

This helps in monitoring business performance and determining profits correctly.

ii. Computerized Accounting System

Installing a computerized stock and accounting system will:

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- Reduce accounting errors
- Improve speed and accuracy
- Detect stock theft easily
- Produce financial reports quickly

iii. Stock Control Measures

Turyasingura should:

- Conduct regular stock taking
- Keep stock cards/bin cards
- Restrict unauthorized access to stores
- Compare physical stock with recorded stock

This minimizes theft and wastage.

iv. Budgeting and Cash Planning

Preparing cash budgets enables the entrepreneur to:

- Plan future cash needs
- Control unnecessary expenditure
- Avoid cash shortages
- Improve financial discipline

v. Internal Control Systems

He should:

- Separate duties among employees
- Approve expenditures properly
- Issue receipts for all sales
- Bank excess cash regularly

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vi. Staff Training

Workers should be trained in:

- Bookkeeping
- Customer care
- Stock management
- Fraud prevention

vii. Expense Control

The business should avoid unnecessary spending and regularly compare actual expenses with budgeted expenses.

viii. Regular Financial Reporting

Preparation of regular financial statements helps in decision-making and improves accountability.

b) Cash Budget for the Three Months Ending September 2026

Cash Budget

Particulars	July (UGX)	August (UGX)	September (UGX)
Opening Cash Balance	5,500,000	0	21,586,667
Add: Cash inflows			
Cash sales	30,000,000	30,000,000	30,000,000
Collection from debtors	–	20,000,000	20,000,000
Loan received	13,000,000	–	–
Sale of old shelves	–	2,200,000	–
Total Cash inflows	48,500,000	52,200,000	71,586,667
Less: Cash outflows			
Cash purchases	16,000,000	16,000,000	16,000,000

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Credit purchases	11,000,000	11,000,000	11,000,000
Operating expenses	17,000,000	17,000,000	17,000,000
Installation of stock system	4,500,000	–	–
Loan repayment	–	4,333,333	4,333,333
Loan interest	–	390,000	260,000
Staff training	–	–	2,000,000
Total cash outflows	48,500,000	48,723,333	50,593,333
Closing Cash Balance	0	3,476,667	20,993,334

Conclusion

The cash budget shows that the retail shop will maintain a positive cash position during the three months. Introducing proper bookkeeping systems, stock management controls, staff training, and budgeting will help Turyasingura reduce theft, control expenses, improve profitability, and strengthen the financial position of the business.

Item 13

Mugisha owns a small factory that produces bottled drinking water for schools, supermarkets and restaurants within the district. In recent months, the business has faced stiff competition from larger companies that offer cheaper prices, attractive packaging and wider distribution networks. As a result, Mugisha's sales and profits have declined significantly. To remain competitive, he plans to improve product quality, expand distribution channels and introduce aggressive advertising campaigns. He also intends to seek financial support from a commercial bank to finance the expansion project. Before granting the loan, the bank manager requested him to prepare projected cash records for the next three months.

The following information was provided: Cash balance on 1st January 2026 ugx 6,000,000, monthly cash sales ugx 35,000,000, monthly cash purchases ugx 18,000,000, monthly credit purchases ugx 14,000,000 payable in the same month, monthly credit sales ugx 24,000,000 receivable one month after sale, proceeds from sale of old water tanks ugx 3,000,000 in

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February, loan of ugx 18,000,000 to be acquired in January at an interest rate of 3% per month on reducing balance, repayment in three equal instalments beginning in February, monthly operating expenses ugx 20,000,000, advertising expenses ugx 5,000,000 in January and market research expenses ugx 3,000,000 in March.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Advise Mugisha on the business planning and competitive strategies he should adopt to improve market performance.*
- b) Prepare the suitable financial statement to determine the net cash position of the business.*

a) Advice to Mugisha on Business Planning and Competitive Strategies

To improve market performance and remain competitive in the bottled drinking water business, Mugisha should adopt the following strategies:

i. Improve Product Quality

Mugisha should ensure that the bottled water meets high quality and health standards by:

- Using modern purification methods
- Maintaining proper hygiene during production
- Obtaining certification from relevant authorities
- Producing durable and attractive bottles

High-quality products increase customer confidence and loyalty.

ii. Improve Packaging and Branding

Attractive packaging helps products compete favorably in the market. Mugisha should:

- Use well-designed labels and bottles

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- Clearly display brand name and expiry dates
- Introduce different bottle sizes for different customer groups

iii. Expand Distribution Channels

To increase market coverage, he should:

- Supply more supermarkets, schools, hotels, and restaurants
- Use distributors and sales agents
- Introduce delivery services to customers

iv. Aggressive Advertising and Promotion

Mugisha should promote the business through:

- Radio and television advertisements
- Social media marketing
- Posters and banners
- Trade fairs and exhibitions
- Offering discounts and free samples

v. Conduct Market Research

Market research helps identify customer preferences and market trends. Mugisha should:

- Gather customer feedback regularly
- Study competitors' pricing and packaging
- Identify new market opportunities

vi. Proper Business Planning

He should prepare:

- Cash budgets

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- Sales forecasts
- Business plans
- Production plans

Proper planning improves decision-making and financial management.

vii. Cost Control Measures

Mugisha should reduce unnecessary expenses and improve efficiency in production to compete with cheaper products.

viii. Maintain Good Customer Relations

Good customer care encourages repeat purchases and strengthens the business reputation.

b) Cash Budget for the Three Months Ending March 2026

Cash Budget

Particulars	January (UGX)	February (UGX)	March (UGX)
Cash Balance b/d	6,000,000	0	11,460,000
Add: Cash inflows			
Cash sales	35,000,000	35,000,000	35,000,000
Collection from debtors	–	24,000,000	24,000,000
Loan received	18,000,000	–	–
Sale of old water tanks	–	3,000,000	–
Total Cash inflows	59,000,000	62,000,000	70,460,000
Less: Cash outflows			
Cash purchases	18,000,000	18,000,000	18,000,000
Payments to creditors	14,000,000	14,000,000	14,000,000
Operating expenses	20,000,000	20,000,000	20,000,000
Advertising expenses	5,000,000	–	–
Loan repayment	–	6,000,000	6,000,000

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Loan interest	–	540,000	360,000
Market research expenses	–	–	3,000,000
Total cash outflows	57,000,000	58,540,000	61,360,000
Net cash position	2,000,000	3,460,000	9,100,000

Conclusion

The cash budget shows that the business will maintain a positive cash position throughout the three months. By improving product quality, strengthening marketing strategies, expanding distribution channels, conducting market research, and maintaining proper business planning, Mugisha can improve competitiveness and increase profitability.

Item 14

Namubiru owns a small enterprise that manufactures school bags and leather belts for students and office workers. Recently, customers have complained about poor finishing, low durability and delayed deliveries of products. At the same time, competitors have introduced fashionable and affordable products, causing a decline in demand for Namubiru's goods. To improve production efficiency and regain customers, she plans to purchase modern stitching machines and increase product promotion through radio and social media advertising. She approached a SACCO for financial assistance and was asked to prepare projected cash records for the next three months.

Namubiru provided the following information: Cash balance on 1st April 2026 ugx 4,500,000, monthly cash sales ugx 26,000,000, monthly cash purchases ugx 12,000,000, monthly credit purchases ugx 9,000,000 payable in the same month, monthly credit sales ugx 15,000,000 receivable after one month, proceeds from sale of old machines ugx 2,500,000 in May, loan of ugx 14,000,000 to be obtained in April at an interest rate of 2.5% per month on reducing balance, repayment in three equal instalments beginning in May, monthly operating expenses ugx 13,000,000, machine installation costs ugx 4,000,000 in April and promotional expenses ugx 2,500,000 in June.

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Task:

Using entrepreneurial knowledge and skills acquired from your school business club:

- a) Suggest to Namubiru the production and marketing strategies she should adopt to improve competitiveness and customer satisfaction.*
- b) Prepare the suitable financial statement to determine the net cash position of the enterprise.*

a) Production and Marketing Strategies for Namubiru

To improve competitiveness and customer satisfaction, Namubiru should adopt the following strategies:

i. Improve Product Quality

Namubiru should:

- Use high-quality leather and fabric materials
- Ensure proper finishing of school bags and belts
- Strengthen quality control during production
- Produce durable and attractive products

Good quality products improve customer loyalty and increase sales.

ii. Introduce Modern Production Technology

Purchasing modern stitching machines will:

- Increase production speed
- Improve product finishing
- Reduce production costs
- Minimize wastage and defects

iii. Improve Production Planning

She should:

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- Prepare production schedules
- Ensure timely supply of raw materials
- Monitor workers closely
- Reduce delays in delivery

This improves efficiency and customer satisfaction.

iv. Product Innovation and Diversification

Namubiru should introduce:

- Fashionable school bags
- Modern belt designs
- Products of different colours and sizes

This helps attract more customers.

v. Aggressive Promotion

She should advertise products through:

- Radio advertisements
- Social media platforms
- Posters and banners
- Trade fairs and exhibitions

Promotion increases market awareness.

vi. Improve Customer Care

Namubiru should:

- Deliver products on time
- Respond quickly to customer complaints

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- Maintain good relationships with customers

vii. Conduct Market Research

She should regularly gather information about:

- Customer preferences
- Competitor products
- Market trends
- Appropriate pricing strategies

viii. Proper Financial Management

Namubiru should prepare budgets, control expenses, and maintain proper accounting records to improve business performance.

b) Cash Budget for the Three Months Ending June 2026

Cash Budget

Particulars	April (UGX)	May (UGX)	June (UGX)
Cash Balance	4,500,000	4,000,000	15,650,000
Cash inflows			
Cash sales	26,000,000	26,000,000	26,000,000
Collection from debtors	–	15,000,000	15,000,000
Loan received	14,000,000	–	–
Sale of old machines	–	2,500,000	–
Total Cash inflows	44,500,000	47,500,000	56,650,000
Less: Cash outflows			
Cash purchases	12,000,000	12,000,000	12,000,000
Credit purchases	9,000,000	9,000,000	9,000,000
Operating expenses	13,000,000	13,000,000	13,000,000
Machine installation costs	4,000,000	–	–

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Loan repayment	–	4,666,667	4,666,667
Loan interest	–	350,000	233,333
Promotional expenses	–	–	2,500,000
Total cash outflows	38,000,000	39,016,667	41,400,000
Closing Cash Balance	6,500,000	8,483,333	15,250,000

Conclusion

The cash budget shows that the enterprise is expected to maintain a positive cash position throughout the three months. By improving product quality, adopting modern production technology, strengthening marketing strategies, and maintaining proper financial management, Namubiru can improve customer satisfaction, increase sales, and regain competitiveness in the market.

Item 15

Okot owns a maize flour processing business supplying products to shops, schools and households. Despite high demand for maize flour, the business has experienced declining profits due to frequent machine breakdowns, poor production planning and high wastage of raw materials. Some competitors have also introduced better quality flour at lower prices. To improve production efficiency and expand operations, Okot plans to purchase a modern milling machine and train workers in quality control. Before granting him a loan, the microfinance institution requested him to prepare financial projections for the next three months.

The following information was provided: Cash balance on 1st July 2026 ugx 5,200,000, monthly cash sales ugx 32,000,000, monthly cash purchases ugx 15,000,000, monthly credit purchases ugx 10,000,000 payable in the same month, monthly credit sales ugx 18,000,000 receivable after one month, sale of old milling equipment ugx 2,000,000 in August, loan of ugx 16,000,000 to be acquired in July at an interest rate of 3% per month on reducing balance, repayment in three equal instalments beginning in August, monthly operating expenses ugx 14,500,000, worker training expenses ugx 3,000,000 in July and machinery installation expenses ugx 4,500,000 in September.

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Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Advise Okot on the production management and business planning strategies he should adopt to improve efficiency and profitability.*
- b) Prepare the suitable financial statement to determine the net cash position of the business.*

Item 16

Nabukenya owns a cosmetics shop selling beauty products, perfumes and lotions within the municipality. Recently, the business has faced stiff competition from supermarkets and online stores offering discounts and home delivery services. Many customers have shifted to competitors because Nabukenya's business rarely advertises products and stocks limited varieties. To improve market share and increase sales, she plans to introduce online marketing, customer loyalty programs and additional product lines. She also intends to apply for a bank loan to finance the expansion. Before approving the loan, the bank requested her to prepare projected cash records for the next three months.

The following information was provided: Cash balance on 1st October 2026 ugx 3,900,000, monthly cash sales ugx 24,000,000, monthly cash purchases ugx 11,500,000, monthly credit purchases ugx 8,500,000 payable in the same month, monthly credit sales ugx 14,000,000 receivable after one month, proceeds from sale of old shelves ugx 1,800,000 in November, loan of ugx 12,000,000 to be obtained in October at an interest rate of 2% per month on reducing balance, repayment in three equal instalments beginning in November, monthly operating expenses ugx 12,500,000, online marketing expenses ugx 3,500,000 in October and customer promotion expenses ugx 2,000,000 in December.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club:

- a) Suggest to Nabukenya the marketing and competitive strategies she should adopt to improve sales and customer loyalty.*

S6 Ent 2 practice items

b) Prepare the suitable financial statement to determine the net cash position of the cosmetics business.

Item 17

Ssenfuma owns a furniture workshop producing chairs, tables and cupboards for homes and offices. Although the business initially attracted many customers, production has declined because of outdated equipment, poor workshop arrangement and increasing competition from imported furniture. Customers have also complained about poor finishing and delayed delivery of orders. To improve productivity and regain customers, Ssenfuma plans to reorganize the workshop, purchase modern carpentry machines and increase product promotion. He approached a commercial bank for financial support and was requested to prepare projected cash records for the next three months.

The following information was provided: Cash balance on 1st January 2026 ugx 4,800,000, monthly cash sales ugx 29,000,000, monthly cash purchases ugx 13,500,000, monthly credit purchases ugx 10,500,000 payable in the same month, monthly credit sales ugx 17,000,000 receivable after one month, sale of old carpentry tools ugx 2,200,000 in February, loan of ugx 15,000,000 to be acquired in January at an interest rate of 3% per month on reducing balance, repayment in three equal instalments beginning in February, monthly operating expenses ugx 14,000,000, workshop reorganization expenses ugx 4,000,000 in January and advertising expenses ugx 2,500,000 in March.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Advise Ssenfuma on the business expansion and production improvement strategies he should adopt to compete effectively in the market.*
- b) Prepare the suitable financial statement to determine the net cash position of the workshop.*

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Item 18

Aol owns a small restaurant providing meals and refreshments to travelers and office workers within the town. Recently, the business has faced declining sales because customers complain about poor customer care, limited menu options and slow service delivery. In addition, new restaurants have entered the market offering attractive environments and home delivery services. To improve competitiveness, Aol plans to renovate the restaurant, introduce new meals and increase advertising through social media and radio programs. Before obtaining financial support from a SACCO, she was asked to prepare projected cash records for the next three months.

The following information was provided: Cash balance on 1st April 2026 ugx 5,000,000, monthly cash sales ugx 27,000,000, monthly cash purchases ugx 12,500,000, monthly credit purchases ugx 9,500,000 payable in the same month, monthly credit sales ugx 16,000,000 receivable after one month, proceeds from sale of old kitchen equipment ugx 2,000,000 in May, loan of ugx 13,000,000 to be obtained in April at an interest rate of 2.5% per month on reducing balance, repayment in three equal instalments beginning in May, monthly operating expenses ugx 13,500,000, restaurant renovation costs ugx 5,000,000 in April and advertising expenses ugx 3,000,000 in June.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club:

a) Suggest to Aol the business planning, marketing and customer service strategies she should adopt to improve competitiveness and customer satisfaction.

b) Prepare the suitable financial statement to determine the net cash position of the restaurant business

Item 19

Mr. Ocen operates a small dairy processing enterprise in Lira town that produces yoghurt, fresh milk, and butter for local supermarkets and hotels. Although demand for dairy products in the area is increasing, new competitors have entered the market with stronger branding, better

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packaging, and lower prices. As a result, Mr. Ocen's sales have started to decline, and some customers have shifted to competitors.

To regain market share and expand his operations, Mr. Ocen plans to develop a comprehensive business plan to guide expansion and attract external financing from a commercial bank. He also intends to reposition his products in the market and improve production efficiency to remain competitive.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Recommend to Mr. Ocen the key components that should be included in a strong business plan to attract financing from the bank.*
- b) Suggest to him appropriate competitive strategies he should adopt to regain and sustain his market share in the dairy industry.*

a) Key Components of a Strong Business Plan

To attract financing from the bank and guide business expansion, Mr. Ocen should prepare a comprehensive business plan containing the following components:

1. Executive Summary

This is a brief overview of the entire business plan. It should include:

- Nature of the dairy business
- Products produced
- Business goals and objectives
- Amount of financing required
- Expected benefits and profitability

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2. Business Description

Mr. Ocen should explain:

- The history and nature of the enterprise
- Location of the business
- Products offered such as yoghurt, fresh milk, and butter
- Vision, mission, and objectives of the enterprise

3. Market Analysis

The business plan should include:

- Target customers such as supermarkets, hotels, and households
- Market size and demand for dairy products
- Competitor analysis
- Customer preferences and market trends

This helps the bank understand the business potential.

4. Marketing Plan

Mr. Ocen should explain how products will be promoted and sold through:

- Advertising
- Branding and packaging
- Pricing strategies
- Distribution channels
- Sales promotion methods

5. Production and Operations Plan

This section should show:

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- Production processes
- Sources of raw materials
- Machinery and equipment required
- Quality control measures
- Production capacity

6. Management and Organization Structure

The plan should indicate:

- Key managers and employees
- Duties and responsibilities
- Skills and experience of management staff

7. Financial Plan

This is one of the most important sections and should include:

- Cash flow projections
- Projected income statements
- Statement of financial position
- Estimated costs and revenues
- Loan repayment plan

8. Risk Analysis and Control Measures

Mr. Ocen should identify possible risks such as:

- Competition
- Price fluctuations
- Disease outbreaks
- Power shortages

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He should also explain strategies to minimize such risks.

9. Funding Requirements

The business plan should clearly state:

- Amount of money required
- Purpose of the loan
- Expected returns from the investment

10. Appendices

Supporting documents may include:

- Business licenses
- Financial statements
- Product photographs
- Market research findings

b) Competitive Strategies Mr. Ocen Should Adopt

To regain and sustain market share in the dairy industry, Mr. Ocen should adopt the following competitive strategies:

i. Improve Product Quality

He should ensure:

- High hygiene standards
- Fresh and safe dairy products
- Consistent taste and quality
- Compliance with health regulations

High-quality products attract and retain customers.

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ii. Improve Packaging and Branding

Mr. Ocen should:

- Use attractive and modern packaging
- Clearly label products
- Create a strong brand identity

Good packaging increases customer appeal.

iii. Competitive Pricing

He should adopt fair and affordable pricing strategies to compete effectively while maintaining profitability.

iv. Product Differentiation

Mr. Ocen can introduce:

- Flavoured yoghurt
- Different package sizes
- Low-fat or special dairy products

Unique products help the business stand out from competitors.

v. Aggressive Promotion

Promotion strategies may include:

- Radio advertisements
- Social media marketing
- Trade exhibitions
- Free product sampling
- Discounts and special offers

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vi. Expand Distribution Channels

He should increase product availability by supplying:

- More supermarkets
- Hotels and restaurants
- Schools and shops

He may also use delivery services and distributors.

vii. Conduct Market Research

Regular market research helps identify:

- Customer preferences
- Competitor weaknesses
- New market opportunities
- Changes in demand

viii. Improve Customer Care

Mr. Ocen should:

- Deliver products on time
- Respond quickly to complaints
- Build good relationships with customers

Good customer service encourages loyalty.

ix. Improve Production Efficiency

He should:

- Use modern equipment

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- Reduce production costs
- Minimize wastage
- Train workers regularly

This improves productivity and profitability.

x. Innovation and Continuous Improvement

Mr. Ocen should continuously improve products and business operations to match changing customer tastes and market trends.

Conclusion

A well-prepared business plan will help Mr. Ocen secure financing and guide the growth of his dairy enterprise. By improving product quality, branding, pricing, marketing, and production efficiency, he can regain customer confidence, compete effectively, and sustain market share in the dairy industry.

Item 21

Mr. Ssebagala operates a small printing and photocopying business near a university campus. Although the business has a steady flow of customers, competition has increased due to the entry of larger printing companies offering bulk discounts and online document services. As a result, Mr. Ssebagala is experiencing pressure on prices and reduced profit margins.

To remain in business, he plans to expand his services to include digital printing, branding, and online document submission. He also wants to prepare a business plan to guide expansion and attract a development loan from a microfinance institution.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

S6 Ent 2 practice items

a) Outline to Mr. Ssebagala the essential sections he should include in his business plan for expansion purposes.

b) Recommend strategies he should adopt to compete effectively with large printing firms in the market.

a) Essential Sections of a Business Plan

Mr. Ssebagala should include the following sections in his business plan:

1. Executive Summary

Brief description of the business, goals, and amount of loan needed.

2. Business Description

Nature of the printing business, location, and services offered.

3. Market Analysis

Information about customers, competitors, and market demand.

4. Marketing Plan

Ways of advertising, pricing, promotion, and attracting customers.

5. Operations Plan

Equipment needed, production process, and daily business activities.

6. Management Structure

Owners, workers, and their responsibilities.

7. Financial Plan

Cash flow projections, expected profits, expenses, and loan repayment plan.

8. Funding Requirements

Amount of money needed and how it will be used.

9. Risk Analysis

Possible business risks and ways of controlling them.

10. Appendices

Supporting documents such as licenses and quotations.

b) Strategies to Compete Effectively

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Mr. Ssebagala should use the following strategies:

- i. **Improve Service Quality.** Provide clear, fast, and reliable printing services.
- ii. **Introduce Digital Services.** Offer online document submission and digital printing.
- iii. **Diversify Services.** Add branding, binding, lamination, and graphic design services.
- iv. **Use Competitive Prices.** Offer affordable prices and discounts to customers.
- v. **Improve Customer Care.** Treat customers well and handle complaints quickly.
- vi. **Advertise the Business.** Use social media, posters, and campus notice boards.
- vii. **Use Modern Technology.** Buy better printing machines to improve efficiency.
- viii. **Carry Out Market Research.** Find out customer needs and competitor activities.
- ix. **Build a Strong Brand.** Maintain good quality and professional services.
- x. **Take Advantage of Location.** Target students and lecturers near the university.

Item 22

Ms. Namirembe owns a small poultry enterprise that supplies eggs and chicken to local markets and restaurants. Recently, competition has intensified due to large-scale poultry farms that supply in bulk at lower prices. This has affected her sales and reduced profitability.

To address this challenge, Ms. Namirembe plans to expand her poultry farm and improve production efficiency through better feeding systems and disease control. She also intends to prepare a business plan to access a bank loan for expansion and to improve her competitive position.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

a) Identify the key information Ms. Namirembe should include in her business plan to convince financial institutions.

S6 Ent 2 practice items

b) Advise her on appropriate strategies she should adopt to compete with large poultry producers in the market.

a) Key Information to Include in the Business Plan

Ms. Namirembe should include the following information in her business plan:

- i. **Executive Summary.** Brief description of the poultry business, goals, and loan required.
- ii. **Business Description.** Type of poultry products sold such as eggs and chicken.
- iii. **Market Analysis.** Information about customers, competitors, and market demand.
- iv. **Marketing Plan.** Ways of advertising and selling poultry products.
- v. **Production Plan.** Feeding systems, disease control, and farm operations.
- vi. **Management Structure.** Owners, workers, and their responsibilities.
- vii. **Financial Plan.** Expected income, expenses, profits, and loan repayment plan.
- viii. **Funding Requirements.** Amount of money needed and how it will be used.
- ix. **Risk Analysis.** Possible risks such as diseases and price changes and how to control them.
- x. **Supporting Documents.** Licenses, financial records, and quotations.

b) Strategies to Compete with Large Poultry Producers

Ms. Namirembe should adopt the following strategies:

- i. **Improve Product Quality.** Supply healthy chickens and quality eggs.
- ii. **Improve Feeding and Disease Control.** Use proper feeds and vaccination programs.
- iii. **Use Competitive Prices.** Sell products at fair and affordable prices.
- iv. **Improve Customer Care.** Deliver products on time and maintain good relationships with customers.
- v. **Advertise the Business.** Use radio, posters, and social media marketing.
- vi. **Expand Market Channels.** Supply more restaurants, schools, and markets.
- vii. **Reduce Production Costs.** Minimize wastage and improve efficiency.
- viii. **Carry Out Market Research.** Find out customer preferences and market trends.

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- ix. **Differentiate Products.** Introduce improved or packaged poultry products.
- x. **Maintain Good Hygiene.** Keep poultry houses clean to improve production quality.

Conclusion

A good business plan and effective competitive strategies will help Ms. Namirembe secure financing, improve production, increase sales, and compete successfully with large poultry farms.

Item 23

Mr. Byaruhanga operates a small juice processing enterprise that produces mango and passion fruit juice for schools, hotels, and retail shops. Although demand for juice products is increasing, his business has recently faced challenges such as inconsistent product quality, poor packaging, and delayed deliveries. At the same time, competitors have introduced attractive branding, improved shelf life, and aggressive advertising campaigns, which have reduced his market share.

To improve production efficiency and regain customers, Mr. Byaruhanga plans to invest in modern juice processing machines, improve quality control systems, and redesign packaging. He also intends to prepare a business plan to support his application for a bank loan to finance expansion and marketing activities.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Recommend to Mr. Byaruhanga the key production improvements he should include in his business plan to enhance efficiency and product quality.*
- b) Advise him on appropriate marketing strategies he should adopt to increase sales and compete effectively in the juice industry.*

S6 Ent 2 practice items

a) Key Production Improvements (for Business Plan)

Mr. Byaruhanga should include the following improvements to increase efficiency and product quality:

- i. **Use Modern Processing Machines**
 - Buy efficient juice extractors and bottling machines
 - This increases production speed and reduces wastage
- ii. **Improve Quality Control**
 - Check fruits before processing
 - Maintain hygiene during production
 - Ensure consistent taste and quality
- iii. **Better Packaging**
 - Use attractive bottles and labels
 - Include brand name, expiry date, and ingredients
 - Improve shelf life using proper sealing
- iv. **Proper Storage Systems**
 - Use refrigerated storage to keep juice fresh
 - Avoid contamination and spoilage
- v. **Standardize Production Process**
 - Use fixed recipes and measurements
 - Ensure every batch has the same quality
- vi. **Train Workers**
 - Train staff on hygiene, machine use, and quality control
 - Reduces errors and improves efficiency
- vii. **Improve Delivery System**
 - Use reliable transport
 - Ensure timely delivery to customers

S6 Ent 2 practice items

b) Marketing Strategies to Increase Sales

Mr. Byaruhanga should use the following strategies:

- i. **Aggressive Advertising**
 - Use radio, posters, and social media
 - Promote juice as fresh and healthy
- ii. **Improve Branding**
 - Create a strong brand name and logo
 - Use attractive packaging to attract customers
- iii. **Competitive Pricing**
 - Set affordable prices to compete with others
 - Offer discounts for bulk buyers
- iv. **Expand Distribution Channels**
 - Supply more schools, hotels, and shops
 - Work with distributors and agents
- v. **Product Differentiation**
 - Introduce new flavors or sugar-free juice
 - Offer different bottle sizes
- vi. **Customer Care**
 - Respond quickly to customer complaints
 - Build good relationships with buyers
- vii. **Promotions and Offers**
 - Give free samples
 - Offer “buy one get one free” promotions
- viii. **Market Research**
 - Study customer preferences
 - Monitor competitors’ prices and packaging

S6 Ent 2 practice items

Conclusion

By improving production quality, packaging, and efficiency, and using strong marketing strategies, Mr. Byaruhanga can increase sales, attract more customers, and successfully compete in the juice industry.

Item 24

Ms. Nakato runs a small garment manufacturing enterprise that produces school uniforms and corporate wear. Recently, the business has experienced production delays, high levels of fabric wastage, and inconsistent product quality. An internal review revealed that employees are poorly supervised, lack clear job descriptions, and are not adequately trained in modern tailoring techniques. As a result, customer complaints have increased.

To address these challenges, Ms. Nakato plans to recruit skilled workers, introduce staff training programs, and develop a structured production system. She also intends to prepare a business plan to access funding for upgrading her workshop and improving human resource management practices.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Suggest to Ms. Nakato the human resource management practices she should adopt to improve employee performance and productivity.*
- b) Recommend production management strategies she should include in her business plan to reduce wastage and improve product quality.*

S6 Ent 2 practice items

Item 25

Mr. Ojara owns a small bakery that produces bread, cakes, and pastries for local supermarkets and schools. Although the business has a stable customer base, it faces stiff competition from modern bakeries that use automated machines, offer discounts, and engage in digital marketing. Mr. Ojara's production process is still manual, leading to slow output and limited ability to meet large orders.

To remain competitive, Mr. Ojara plans to modernize his bakery, improve production capacity, and introduce strong marketing strategies. He also intends to develop a business plan to seek financial support from a microfinance institution.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

a) Advise Mr. Ojara on the production improvements he should include in his business plan to increase efficiency and output.

b) Suggest marketing strategies he should adopt to compete effectively with modern bakeries.

Ms. Nakato runs a small garment manufacturing enterprise that produces school uniforms and corporate wear. Recently, the business has experienced production delays, high levels of fabric wastage, and inconsistent product quality. An internal review revealed that employees are poorly supervised, lack clear job descriptions, and are not adequately trained in modern tailoring techniques. As a result, customer complaints have increased.

To address these challenges, Ms. Nakato plans to recruit skilled workers, introduce staff training programs, and develop a structured production system. She also intends to prepare a business plan to access funding for upgrading her workshop and improving human resource management practices.

S6 Ent 2 practice items

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Suggest to Ms. Nakato the human resource management practices she should adopt to improve employee performance and productivity.*
- b) Recommend production management strategies she should include in her business plan to reduce wastage and improve product quality.*

Item 25

Mr. Ojara owns a small bakery that produces bread, cakes, and pastries for local supermarkets and schools. Although the business has a stable customer base, it faces stiff competition from modern bakeries that use automated machines, offer discounts, and engage in digital marketing. Mr. Ojara's production process is still manual, leading to slow output and limited ability to meet large orders.

To remain competitive, Mr. Ojara plans to modernize his bakery, improve production capacity, and introduce strong marketing strategies. He also intends to develop a business plan to seek financial support from a microfinance institution.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Advise Mr. Ojara on the production improvements he should include in his business plan to increase efficiency and output.*
- b) Suggest marketing strategies he should adopt to compete effectively with modern bakeries*

S6 Ent 2 practice items

Ms. Nakato runs a small garment manufacturing enterprise that produces school uniforms and corporate wear. Recently, the business has experienced production delays, high levels of fabric wastage, and inconsistent product quality. An internal review revealed that employees are poorly supervised, lack clear job descriptions, and are not adequately trained in modern tailoring techniques. As a result, customer complaints have increased.

To address these challenges, Ms. Nakato plans to recruit skilled workers, introduce staff training programs, and develop a structured production system. She also intends to prepare a business plan to access funding for upgrading her workshop and improving human resource management practices.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Suggest to Ms. Nakato the human resource management practices she should adopt to improve employee performance and productivity.*
- b) Recommend production management strategies she should include in her business plan to reduce wastage and improve product quality.*

Item 25

Mr. Ojara owns a small bakery that produces bread, cakes, and pastries for local supermarkets and schools. Although the business has a stable customer base, it faces stiff competition from modern bakeries that use automated machines, offer discounts, and engage in digital marketing. Mr. Ojara's production process is still manual, leading to slow output and limited ability to meet large orders.

To remain competitive, Mr. Ojara plans to modernize his bakery, improve production capacity, and introduce strong marketing strategies. He also intends to develop a business plan to seek financial support from a microfinance institution.

S6 Ent 2 practice items

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Advise Mr. Ojara on the production improvements he should include in his business plan to increase efficiency and output.*
- b) Suggest marketing strategies he should adopt to compete effectively with modern bakeries*

Item 25 – Mr. Ojara (Bakery)

a) Production Improvements

Mr. Ojara should:

- i. **Use modern baking machines.** Increase production speed and output.
- ii. **Improve production capacity.** Produce enough for large orders.
- iii. **Standardize recipes.** Ensure same taste and quality for all products.
- iv. **Improve hygiene.** Keep bakery clean for safe food production.
- v. **Train workers.** Improve skills in baking and machine use.
- vi. **Plan production well.** Avoid delays and stock shortages.
- vii. **Reduce production costs.** Minimize waste of flour and ingredients.

b) Marketing Strategies

Mr. Ojara should:

- i. **Use digital marketing.** Advertise on social media and WhatsApp.
- ii. **Offer discounts.** Reduce prices for bulk buyers and schools.
- iii. **Improve branding.** Use attractive packaging and labels.
- iv. **Expand distribution.** Supply more shops, schools, and supermarkets.

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- v. **Promote products.** Use posters, radio, and word of mouth.
- vi. **Improve customer service.** Deliver on time and handle complaints well.
- vii. **Introduce new products.** Add cakes, snacks, and special pastries.

Conclusion

Both businesses can improve performance by upgrading production systems, training workers, and using strong marketing strategies. This will increase efficiency, reduce costs, and help them compete effectively.

Item 26

Ms. Auma operates a small retail clothing shop in town. Recently, the business has experienced declining sales due to poor customer service, lack of product variety, and weak marketing strategies. An internal assessment revealed that employees are unfriendly to customers, poorly trained, and lack motivation. Meanwhile, competitors are attracting more customers through promotions and excellent customer service.

To improve performance, Ms. Auma plans to train her employees, introduce performance-based incentives, and increase advertising activities. She also intends to prepare a business plan to support her application for expansion funding.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Recommend to Ms. Auma the human resource management practices she should adopt to improve customer service and employee motivation.*
- b) Suggest marketing strategies she should include in her business plan to increase sales and competitiveness.*

S6 Ent 2 practice items

a) Human Resource Management Practices

Ms. Auma should:

- i. **Train employees regularly.** Teach customer care, communication, and sales skills.
- ii. **Motivate workers.** Give fair salaries and rewards for good performance.
- iii. **Use performance-based incentives.** Reward employees who achieve good sales or good customer service.
- iv. **Improve supervision.** Monitor workers to ensure discipline and good behavior.
- v. **Assign clear duties.** Each worker should know their job responsibilities.
- vi. **Improve communication.** Hold meetings and give clear instructions.
- vii. **Recruit friendly staff.** Hire workers with good customer service skills.

b) Marketing Strategies

Ms. Auma should:

- i. **Improve advertising.** Use posters, radio, and social media to promote the shop.
- ii. **Offer discounts and promotions.** Reduce prices during sales seasons.
- iii. **Improve product variety.** Sell different clothing styles and sizes.
- iv. **Improve branding and display.** Arrange clothes neatly and attractively in the shop.
- v. **Enhance customer service.** Treat customers politely and serve them quickly.
- vi. **Use word of mouth promotion.** Encourage satisfied customers to bring others.
- vii. **Know customer needs (market research).** Find out what customers want and stock accordingly.
- viii. **Offer loyalty programs.** Give discounts to regular customers.

Conclusion

By improving employee performance and using strong marketing strategies, Ms. Auma can attract more customers, increase sales, and compete effectively in the clothing market

Item 27

S6 Ent 2 practice items

Mr. Ssemakula owns a small furniture manufacturing workshop producing beds, tables, and chairs. Recently, the business has faced production inefficiencies due to lack of skilled labour, poor supervision, and outdated tools. At the same time, competitors are producing stylish furniture at lower prices using modern machinery and well-trained staff.

To address these challenges, Mr. Ssemakula plans to invest in modern equipment, recruit skilled carpenters, and introduce training programs. He also intends to prepare a business plan to attract funding for expansion and marketing.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

a) Advise Mr. Ssemakula on the production and human resource management improvements he should include in his business plan.

b) Recommend strategies he should adopt to remain competitive in the furniture industry

a) Production and Human Resource Improvements

Mr. Ssemakula should include the following:

Production Improvements

- i. **Using modern machines and tools.** Improve speed, accuracy, and quality of furniture.
- ii. **Improve production planning.** Organize work to avoid delays.
- iii. **Standardizing designs.** Produce consistent and attractive furniture styles.
- iv. **Improving quality control.** Check furniture at every stage of production.
- v. **Reduce waste of materials.** Use timber carefully to avoid losses.

Human Resource Improvements

- i. **Recruiting skilled carpenters.** Hire experienced workers to improve output.

S6 Ent 2 practice items

- ii. **Training workers regularly.** Teach modern furniture-making skills.
- iii. **Improving supervision.** Monitor workers to ensure discipline and quality work.
- iv. **Motivating employees.** Offer fair pay and rewards for good performance.
- v. **Giving clear job roles.** Each worker should know their duties.

b) Strategies to Remain Competitive

Mr. Ssemakula should:

- i. **Improve product quality.** Make strong, durable, and stylish furniture.
- ii. **Use modern designs.** Produce fashionable furniture to attract customers.
- iii. **Competitive pricing.** Set fair prices to match competitors.
- iv. **Improve marketing.** Use posters, social media, and word of mouth.
- v. **Expand market.** Supply schools, offices, and households.
- vi. **Improve customer service.** Deliver on time and handle complaints well.
- vii. **Diversify products.** Make different furniture types and custom designs.
- viii. **Use efficient production methods.** Reduce costs to increase profits.

Conclusion

By improving production systems, training workers, and using strong marketing strategies, Mr. Ssemakula can increase efficiency, reduce costs, and remain competitive in the furniture industry.

Item 28

Ms. Kyeyune operates a small cosmetics manufacturing enterprise producing lotions, soaps, and body creams. Although demand for beauty products is increasing, her business is facing challenges such as poor branding, inconsistent product quality, and untrained employees. Competitors are using digital marketing, attractive packaging, and skilled staff to dominate the market.

S6 Ent 2 practice items

To improve competitiveness, Ms. Kyeyune plans to improve production processes, train staff in modern cosmetic formulation, and launch a strong marketing campaign. She also intends to develop a business plan to secure financing for expansion.

Task:

Using entrepreneurial knowledge and skills acquired from your school business club and field trips:

- a) Recommend to Ms. Kyeyune the production and human resource management strategies she should include in her business plan.*
- b) Advise her on effective marketing strategies she should adopt to compete successfully in the cosmetics industry.*

a) Production and Human Resource Management Strategies

Production strategies

Ms. Kyeyune should:

- i. **Improve production process..** Use proper steps in mixing and preparing cosmetics to ensure consistency.
- ii. **Use quality raw materials.** Select safe and high-quality ingredients for better products.
- iii. **Standardize recipes.** Use fixed measurements so products have the same quality every time.
- iv. **Improve quality control.** Check products at every stage before packaging and selling.
- v. **Improve packaging and branding.** Use attractive, well-labelled containers to build trust and identity.

S6 Ent 2 practice items

Human resource strategies

She should:

- i. **Train employees regularly.** Teach modern cosmetic production techniques and hygiene.
- ii. **Hire skilled workers.** Employ people with knowledge in cosmetics and formulation.
- iii. **Improve supervision.** Monitor workers to ensure proper procedures are followed.
- iv. **Motivate staff.** Pay fair wages and reward good performance.
- v. **Give clear job roles.** Each worker should know their responsibilities.

b) Marketing Strategies

Ms. Kyeyune should:

- i. **Use digital marketing.** Advertise on social media platforms like Facebook, Instagram, and WhatsApp.
- ii. **Improve branding.** Use attractive packaging, logos, and brand names.
- iii. **Competitive pricing.** Set fair prices to attract more customers.
- iv. **Product promotion.** Offer discounts, free samples, and promotions.
- v. **Expand distribution.** Supply shops, salons, supermarkets, and beauty shops.
- vi. **Market research.** Find out customer preferences and competitor products.
- vii. **Build customer trust.** Ensure safe and high-quality cosmetic products.
- viii. **Customer care.** Respond quickly to customer feedback and complaints.

Conclusion

By improving production quality, training staff, and using strong marketing strategies, Ms. Kyeyune can increase sales, build a strong brand, and compete successfully in the cosmetics industry.

S6 Ent 2 practice items

Item 29

Amooti owns a small carpentry workshop that produces furniture such as tables, chairs and beds for the local market. Recently, the demand for his products has reduced because customers have complained about the nature of furniture produced, as a result his sales and business reputation have started declining.

In an effort to improve production quantities and restore customers confidence, Amooti plans to purchase better tools and improve workshop operations he has decided to apply for a bank loan to support the business. Before approving the loan, the bank manager has asked him to prepare a summary showing the expected cash outflows and inflows of the business.

Amooti has provided the following for the coming three months.

Cash balance 1st January, 2026 ugx 3,500,000, Monthly cash sales ugx 25,000,000, Monthly cash purchases ugx 13,000,000, Monthly credit purchases ugx 10,000,000, cash payments to be made in the month of purchase, Monthly credit sales ugx 16,000,000 cash to be received in the following month of sale, Sale of old machinery ugx 2,000,000 in February, Loan of ugx 9,000,000 to be acquired in January at an interest rate of 3% on reducing balance, loan repayment to be in three equal instalments beginning in February, Monthly expenses ugx 15,000,000, Seminars and refresher training in March ugx 5,000,000. Installation of cameras ugx 2,000,000 in January.

Task:

Using the entrepreneurial knowledge and skills acquired from your school business club and field trips.

- a) *Suggest to Amooti the benchmarks he should undertake to restore the confidence of his customers.*
- b) *Prepare for Amooti the suitable financial statement to determine the net cash position for his business.*

S6 Ent 2 practice items

Item 30

Mr Kaahwa owns Bright stationers, a business selling stationery, textbooks and secretarial services to schools and corporates within the city. Although customer orders have remained stable, the enterprise has recently recorded declining profits. An internal review revealed that some employees report late, spend exclusive time on personal phone use, engage in unnecessary conversations during working hours and fail to complete assigned tasks on time.

Concerned about decline in performance, the entrepreneur ordered his book keeper to produce the records at the end of the trading period and she produced the following details as at 31 Dec. 2025 (ugx)

Sales revenue 48,000,000, Opening stock 6,000,000, Purchases 20,000,000, Carriage inwards 1,000,000, Closing stock 5,000,000, Furniture & equipment 18,000,000, Motor vehicle 10,000,000, Cash at bank 4,000,000, Debtors 6,000,000, Creditors 5,000,000, Bank loan 9,000,000, Capital 28,000,000, Operating expenses 25,000,000. However, the book keeper doesn't have enough financial management skills to prepare the relevant financial statements.

Task:

Using entrepreneurial skills and knowledge acquired from your school business club

- a) *Suggest to Mr Kaahwa the remedies he should adopt to check the vice of his employees.*
- b) *Prepare suitable financial statements to determine the profitability and financial position for bright stationers.*

Item 31

Ms. Namubiru operates a growing bakery enterprise in Kampala city that produces bread, cakes, and snacks for nearby schools and offices. Recently, several new bakeries have entered the market offering similar products at competitive prices, leading to reduced sales and loss of local customers.

S6 Ent 2 practice items

To expand her business and regain market leadership, Ms Namubiru plans to seek financial support from a commercial bank. The bank requires her to present a well-structured business plan. At the same time, she wants to develop strategies that will help her business remain competitive despite increasing rivalry in the market.

Task:

Using the entrepreneurial skills and knowledge acquired from your school business club and field trips.

- a) *Recommend to Ms Namubiru an appropriate checklist that should be adopted to effectively meet the requirements set by the microfinance institution.*
- b) *Design for her ideal strategies that should be used by her to cope up with the situation.*

a) Appropriate checklist Ms Namubiru should adopt to effectively meet the requirements set by the financial institution

To successfully obtain financial support from the commercial bank, Ms Namubiru should prepare a comprehensive business plan containing the following checklist:

- i. **Business profile.** The business plan should clearly show the name of the bakery, location, ownership, products produced, and nature of operations.
- ii. **Executive summary.** She should provide a brief summary of the entire business plan highlighting the business objectives, products, target market, and financial needs.
- iii. **Business objectives.** Clear short-term and long-term goals such as increasing production, expanding the market, and improving profitability should be stated.
- iv. **Description of products and services.** She should explain the types of products produced such as bread, cakes, and snacks, including their quality and uniqueness.
- v. **Market analysis.** The business plan should contain information about customers, competitors, market trends, and demand for bakery products.

S6 Ent 2 practice items

- vi. **Marketing plan.** She should indicate how products will be promoted, priced, distributed, and sold to customers.
- vii. **Production or operational plan.** The plan should describe the production process, equipment used, suppliers of raw materials, and daily operations of the bakery.
- viii. **Management and organization structure.** She should show the organizational structure, key employees, their responsibilities, and qualifications.
- ix. **Human resource plan.** Information regarding recruitment, training, supervision, and motivation of workers should be included.
- x. **Financial plan.** She should prepare projected income statements, cash flow forecasts, balance sheets, and profit estimates.
- xi. **Capital requirements.** The exact amount of money needed and how it will be used should be clearly stated.
- xii. **Source of repayment.** She should explain how the business will generate enough income to repay the loan.
- xiii. **Collateral or security.** Assets to be pledged as security for the loan should be identified.
- xiv. **Risk analysis and control measures**
Possible business risks such as competition, fire, price fluctuations, and spoilage should be identified together with solutions.
- xv. **Legal requirements.** The business should have trading licenses, tax registration documents, and other legal documents required for operation.
- xvi. **Record keeping system.** Proper accounting and record keeping procedures should be indicated to assure the bank of accountability.
- xvii. **Business location and premises.** The plan should describe the location advantages and accessibility of the bakery.
- xviii. **Appendices and supporting documents.** Supporting documents such as licenses, bank statements, quotations, certificates, and reference letters should be attached.

b) Ideal strategies Ms Namubiru should use to cope with increasing competition

- i. **Improving product quality.** She should produce fresh, tasty, and high-quality bakery products to attract and retain customers.

S6 Ent 2 practice items

- ii. **Introducing product differentiation.** The bakery should produce unique products such as special cakes, healthy snacks, or customized bread to stand out from competitors.
- iii. **Using attractive packaging.** Good packaging improves product appearance and creates a positive business image.
- iv. **Adopting competitive pricing.** Prices should be fair and affordable without compromising product quality.
- v. **Carrying out aggressive promotion.** She should advertise through radio, posters, social media, banners, and word of mouth to increase customer awareness.
- vi. **Improving customer care.** Customers should be treated politely and served promptly to encourage loyalty.
- vii. **Offering delivery services.** Supplying products directly to schools, offices, and homes can increase convenience for customers.
- viii. **Expanding distribution channels.** She should sell products through shops, supermarkets, school canteens, and mobile vendors.
- ix. **Training employees regularly.** Workers should be trained in baking skills, hygiene, and customer service to improve efficiency and productivity.
- x. **Adopting modern technology.** Using modern baking equipment can improve production speed, quality, and consistency.
- xi. **Maintaining proper hygiene and sanitation.** Clean production environments improve product safety and customer confidence.
- xii. **Conducting market research.** She should regularly collect information about customer preferences and competitor activities.
- xiii. **Building a strong business brand.** Creating a recognizable bakery name, logo, and slogan can improve market identity and customer trust.
- xiv. **Providing discounts and promotional offers.** Special offers such as discounts on bulk purchases can attract more customers.
- xv. **Ensuring continuous product availability.** Customers should always find products available to avoid losing them to competitors.
- xvi. **Strengthening customer relationships.** She should communicate regularly with customers and respond to complaints quickly.

S6 Ent 2 practice items

- xvii. **Controlling production costs.** Reducing unnecessary expenses can help maintain profitability and competitive prices.
- xviii. **Diversifying products.** Introducing new bakery products can help attract different categories of customers.

Conclusion

If Ms Namubiru prepares a comprehensive business plan and adopts effective competitive strategies, she will increase her chances of obtaining financial support, expanding her bakery business, attracting more customers, and regaining market leadership.

Item 32

Mr Katumba is an entrepreneur operating a metal workshop in town. For the past two years, his business has relied mainly on walk-in customers and word of mouth recommendations. Although the workshop produces quality products, sales growth has remained slow compared to competing workshops that actively promote their products through different advertising channels. After attending a local business seminar, Mr Katumba realised that failure to create awareness for his products has created limited market. He now intends to attract new customers and increase sales. However, he is confused about what to do in order to achieve his target customers.

At the same time the Mr Katumba realises that expansion will require hiring additional employees such production assistants, sales personnel and an accountant. Previously, workers were recruited informally through friends and relatives, which resulted in poor performance, absenteeism and conflicts at the work place. Mr Katumba now wants to establish proper recruitment procedures to attract competent and reliable employees who can improve efficiency and productivity.

Task:

As an active member of your school business club where you have acquired vast entrepreneurship knowledge and skills;

S6 Ent 2 practice items

- a) *Advise Mr Katumba the criteria he should consider when choosing the suitable means to create awareness about his products.*
- b) *Recommend to him the appropriate recruitment formalities he should implement to attract suitable and competent staff.*

a) Criteria Mr Katumba should consider when choosing suitable means of creating awareness about his products

Mr Katumba should consider the following factors when selecting appropriate advertising and promotional methods for his metal workshop products:

- i. **Target customers.** He should identify the type of customers he wants to reach such as schools, construction companies, households, shops, and offices. Different customers respond to different advertising methods.
- ii. **Cost of advertising.** The means chosen should be affordable to the business. He should select promotional methods that fit within his advertising budget to avoid unnecessary expenses.
- iii. **Nature of the products.** Metal products such as doors, windows, gates, and furniture require visual demonstration. Therefore, methods that allow display of pictures or samples are more suitable.
- iv. **Coverage or reach.** He should choose a method capable of reaching many potential customers within and outside his area of operation.
- v. **Availability of the media.** The advertising channel selected should be easily accessible and available to the intended customers, for example local radio stations, social media platforms, posters, or newspapers.
- vi. **Popularity of the advertising medium.** A widely used and trusted advertising medium is likely to attract more customers than one that is rarely used.
- vii. **Nature and size of the business.** Since the workshop is growing, he should select methods that suit the size and level of operations of the enterprise.

S6 Ent 2 practice items

- viii. **Competition in the market.** He should study the advertising methods used by competing workshops and adopt better or more effective approaches to remain competitive.
- ix. **Message clarity.** The method chosen should communicate product information clearly, including prices, quality, location, and contact details.
- x. **Speed of communication.** Some methods such as social media and radio deliver information quickly to many people. He should consider how fast he wants customers to receive the message.
- xi. **Durability of the advertisement.** He should consider some advertisements such as signposts, banners, and branded vehicles which remain visible for a long time and continue attracting customers.
- xii. **Feedback from customers.** He should select methods that allow customers to ask questions, make inquiries, and give feedback about the products.
- xiii. **Literacy levels of customers.** Where some customers may not read easily, oral methods like radio announcements are more effective than newspapers.
- xiv. **Business objectives.** The chosen method should help achieve the intended goals such as increasing sales, attracting new customers, or improving the business image.
- xv. **Technological changes.** He should consider modern methods such as Facebook, WhatsApp, Instagram, and TikTok because many customers now use digital platforms.

b) Appropriate recruitment formalities Mr. Katumba should implement to attract competent staff

Mr Katumba should establish proper recruitment procedures to ensure that qualified and reliable employees are hired. The following formalities are recommended:

- i. **Identifying manpower needs.** He should first determine the number and type of employees required such as production assistants, sales personnel, and an accountant.
- ii. **Conducting job analysis.** He should clearly define the duties, responsibilities, and qualifications required for each position.
- iii. **Preparing job descriptions.** A written job description should outline tasks, responsibilities, and working conditions for every job.

S6 Ent 2 practice items

- iv. **Preparing job specifications.** He should state the qualifications, skills, experience, age, and personal qualities required from applicants.
- v. **Advertising vacant positions..** Vacancies should be publicly advertised through newspapers, radio, notice boards, social media, or online platforms to attract many qualified applicants.
- vi. **Receiving applications.** Interested candidates should submit formal applications together with academic documents, CVs, and recommendation letters.
- vii. **Shortlisting candidates.** Applicants who meet the required qualifications should be selected for interviews.
- viii. **Conducting interviews.** Formal interviews should be carried out to assess the candidates' competence, communication skills, experience, and suitability for the jobs.
- ix. **Administering tests where necessary.** Practical or written tests may be given to evaluate technical skills, especially for workshop production workers and accountants.
- x. **Checking references and background.** Previous employers, schools, or referees should be contacted to confirm the applicant's character, experience, and reliability.
- xi. **Selecting the best candidates.** The most competent and suitable applicants should be chosen based on merit and performance.
- xii. **Issuing appointment letters.** Successful candidates should receive formal appointment letters stating salary, duties, working hours, and terms of service.
- xiii. **Signing employment contracts.** Written agreements should be prepared to guide the relationship between the employer and employees.
- xiv. **Orienting and inducting new employees.** Newly recruited workers should be introduced to the business operations, rules, objectives, and fellow workers.
- xv. **Assigning to workers offices, and duties and responsibilities**

Conclusion

If Mr Katumba adopts effective advertising methods and proper recruitment procedures, his metal workshop will attract more customers, improve employee performance, increase productivity, and achieve higher sales growth.